

Due Diligence Report

Tesla

HIGH RISK

Overall risk score: 7/10 Confidence: HIGH

Tesla remains financially liquid with substantial cash and manageable debt, but its risk profile is elevated by multiple ongoing U.S. safety investigations, expanding litigation exposure, and persistent leadership turbulence. The company's margins and earnings have compressed materially from prior peaks, while product-safety scrutiny around Autopilot/FSD and governance concerns tied to Elon Musk increase legal, regulatory, and reputational risk.

Red flags

- Multiple ongoing NHTSA investigations into Tesla's FSD/Autopilot behavior, including reduced-visibility crashes, traffic-law violations, delayed crash reporting, and Smart Summon incidents
- Engineering analysis stage reached in at least one major U.S. safety probe, a step that can precede a recall
- Material litigation over alleged misleading FSD marketing, workplace harassment/discrimination, product defects, and fatal crash claims
- Significant margin compression and earnings decline versus prior years despite continued revenue scale
- Concentrated key-person and governance risk around Elon Musk, amplified by reported executive departures and political controversy
- Reputational exposure from recurring safety, workplace, and product-design controversies

Detailed assessment

Legal Regulatory

9/10

- NHTSA opened or expanded multiple investigations into Tesla's driver-assistance systems, including an October 2024 inquiry into roughly 2.4 million FSD-equipped vehicles after

reduced-visibility crashes, including one fatal crash. Sources indicate the matter later advanced to an engineering analysis covering about 3.2 million vehicles, which is typically a more serious stage before a possible recall.

- A separate October 2025 NHTSA preliminary evaluation reportedly covered about 2.9 million vehicles after reports of Teslas using FSD running red lights, driving the wrong way, and violating other traffic laws, with crashes and injuries reported.
- NHTSA also opened a January 2025 probe into Actually Smart Summon after complaints and media reports of crashes involving failure to detect posts or parked vehicles.
- Reporting indicates an August 2025 NHTSA investigation into whether Tesla delayed reporting FSD/Autopilot crashes in violation of the regulator's Standing General Order.
- Tesla faces substantial civil litigation exposure, including reporting of up to \$14.5 billion in lawsuits, a certified California class action over allegedly misleading FSD marketing, EEOC litigation over alleged racial harassment, multiple sexual-harassment suits, wage-and-hour matters, and product-liability actions tied to fatal crashes and door-handle/egress design.

Financial Health

5/10

- Tesla remains liquid by reported metrics. Company materials show cash, cash equivalents and investments of about \$36.6 billion at year-end 2024, and third-party financial summaries indicate cash of about \$16.5 billion exceeded long-term debt of about \$6.6 billion in fiscal 2025.
- Debt appears manageable relative to liquidity, with SEC filings showing total debt around \$7.3 billion as of March 31, 2025, though a significant portion is non-recourse and some facilities may have draw restrictions.
- Profitability has weakened materially. Tesla's January 2025 update shows 2024 GAAP net income attributable to common stockholders down 71% year over year, and external financial summaries cite gross margin declining from 25.6% in FY2022 to 18.0% in FY2025.
- Quarterly profitability weakened sharply in early 2025, with Tesla's Q1 2025 update reporting only about \$0.4 billion in GAAP operating income and \$0.4 billion in GAAP net income.
- Cash generation remains positive but not immune to operating pressure; filings and company updates show operating cash flow and free cash flow stayed positive over trailing periods, partially supported by depreciation and stock-based compensation.

Leadership Team

7/10

- Tesla appears heavily dependent on Elon Musk for strategy, capital markets narrative, and product direction, creating concentrated key-person risk.
- Reports from April 2024 noted three top executive departures in less than two weeks, including the longtime head of investor relations, during a sensitive period for the company.

- Subsequent reporting describes a wider pattern of senior departures linked to layoffs, burnout, strategy shifts, and discomfort with Musk's politics, suggesting organizational instability at the leadership level.
- External reporting indicates concern among investors and observers that Tesla is losing experienced executives during a major transition involving EV demand pressure and the company's shift toward AI, robotics, and autonomous-driving priorities.

Market Position

6/10

- Tesla retains a strong market presence, large installed base, and access to capital, but market positioning is under pressure from weakening margins and strategic execution risk.
- Company and external materials point to multi-year margin compression, indicating Tesla's pricing and cost advantages have eroded from prior peaks.
- Reported cancellation of the internally discussed low-cost EV project and pivot toward robotics/AI/self-driving may increase execution risk if autonomous revenue commercialization is delayed by regulators or technology limitations.
- Safety probes tied to FSD could impair Tesla's ability to differentiate on autonomy, a central pillar of its valuation narrative and future market positioning.

Reputational Risk

8/10

- Tesla faces recurring negative coverage around safety incidents involving Autopilot/FSD, including crashes, traffic-law violations, and reduced-visibility performance concerns.
- Product-design criticism around door releases and occupant egress after crashes creates additional reputational exposure beyond software/autonomy issues.
- Workplace-related allegations, including racial harassment, retaliation, sexual-harassment claims, and labor issues, contribute to sustained reputational risk with employees, regulators, and customers.
- Elon Musk's political profile and public controversies create spillover brand risk for Tesla and may affect employee retention, customer sentiment, and stakeholder trust.

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